Example:

Particulars	Strike Price	Price
1 Nifty call bought	25,000	₹125
2 Nifty calls sold	25,200	₹50

Here, the margin required is ₹2,25,000.
Here, we pay ₹125 and receive ₹100 (2 × ₹50) as a premium.
So, our net premium paid is ₹25.
As a result, our break-even point will be 25,025 (Strike price of Nifty call bought + Net premium paid).

Here, too, our **reward** will be the spread minus the net premium paid, which is **₹175**. However, what if Nifty is more than the strike price plus the reward? Our unlimited losses from the call options sold will kick in.

Strike price + Reward = 25,200 + ₹175 = 25,375

Let us see the pay-offs with this strategy.

Particulars	Nifty below 25,000	Nifty at 25,200	Nifty rises above 25,375
Outcome of buying Nifty 25,000 call option	Premium of ₹125 lost	Gain = 25,200-25,000-125 = ₹75	Gain = Nifty - 25,000 -125
Outcome of selling 2 Nifty 25,200 call options	Premium of ₹100 captured	Premium of ₹100 captured	Unlimited loss
Net outcome (per lot)	Loss of ₹25	Gain of ₹175	Unlimited loss

I have visualised the pay-off from the strategy below: